

**SUBSTITUTE FOR
HOUSE BILL NO. 6098**

A bill to amend 1976 PA 331, entitled
"Michigan consumer protection act,"
by amending section 3 (MCL 445.903), as amended by 2022 PA 152, and
by adding section 3q.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 3. (1) Unfair, unconscionable, or deceptive methods,
2 acts, or practices in the conduct of trade or commerce are unlawful
3 and are defined as follows:

4 (a) Causing a probability of confusion or misunderstanding as
5 to the source, sponsorship, approval, or certification of goods or
6 services.

7 (b) Using deceptive representations or deceptive designations
8 of geographic origin in connection with goods or services.



1 (c) Representing that goods or services have sponsorship,
2 approval, characteristics, ingredients, uses, benefits, or
3 quantities that ~~they~~**the goods or services** do not have or that a
4 person has sponsorship, approval, status, affiliation, or
5 connection that ~~he or she~~**the person** does not have.

6 (d) Representing that goods are new if ~~they~~**the goods** are
7 deteriorated, altered, reconditioned, used, or secondhand.

8 (e) Representing that goods or services are of a particular
9 standard, quality, or grade, or that goods are of a particular
10 style or model, if ~~they~~**the goods** are of another.

11 (f) Disparaging the goods, services, business, or reputation
12 of another by false or misleading representation of fact.

13 (g) Advertising or representing goods or services with intent
14 not to dispose of those goods or services as advertised or
15 represented.

16 (h) Advertising goods or services with intent not to supply
17 reasonably expectable public demand, unless the advertisement
18 discloses a limitation of quantity in immediate conjunction with
19 the advertised goods or services.

20 (i) Making false or misleading statements of fact concerning
21 the reasons for, existence of, or amounts of price reductions.

22 (j) Representing that a part, replacement, or repair service
23 is needed when it is not.

24 (k) Representing to a party to whom goods or services are
25 supplied that the goods or services are being supplied in response
26 to a request made by or on behalf of the party, when ~~they~~**the goods**
27 **and services** are not.

28 (l) Misrepresenting that because of some defect in a consumer's
29 home the health, safety, or lives of the consumer or ~~his or her~~**the**



1 **consumer's** family are in danger if the product or services are not
2 purchased, when in fact the defect does not exist or the product or
3 services would not remove the danger.

4 (m) Causing a probability of confusion or of misunderstanding
5 with respect to the authority of a salesperson, representative, or
6 agent to negotiate the final terms of a transaction.

7 (n) Causing a probability of confusion or of misunderstanding
8 as to the legal rights, obligations, or remedies of a party to a
9 transaction.

10 (o) Causing a probability of confusion or of misunderstanding
11 as to the terms or conditions of credit if credit is extended in a
12 transaction.

13 (p) Disclaiming or limiting the implied warranty of
14 merchantability and fitness for use, unless a disclaimer is clearly
15 and conspicuously disclosed.

16 (q) Representing or implying that the subject of a consumer
17 transaction will be provided promptly, or at a specified time, or
18 within a reasonable time, if the merchant knows or has reason to
19 know it will not be so provided.

20 (r) Representing that a consumer will receive goods or
21 services free or without charge, or using words of similar import
22 in the representation, without clearly and conspicuously disclosing
23 with equal prominence in immediate conjunction with the use of
24 those words the conditions, terms, or prerequisites to the use or
25 retention of the goods or services advertised.

26 (s) Failing to reveal a material fact, the omission of which
27 tends to mislead or deceive the consumer, and which fact could not
28 reasonably be known by the consumer.

29 (t) Entering into a consumer transaction in which the consumer



1 waives or purports to waive a right, benefit, or immunity provided
2 by law, unless the waiver is clearly stated and the consumer has
3 specifically consented to it.

4 (u) Failing, in a consumer transaction that is rescinded,
5 canceled, or otherwise terminated in accordance with the terms of
6 an agreement, advertisement, representation, or provision of law,
7 to promptly restore to ~~the a person or persons~~ entitled to it a
8 deposit, down payment, or other payment, or in the case of property
9 traded in but not available, the greater of the agreed value or the
10 fair market value of the property, or to cancel within a specified
11 time or an otherwise reasonable time an acquired security interest.

12 (v) Taking or arranging for the consumer to sign an
13 acknowledgment, certificate, or other writing affirming acceptance,
14 delivery, compliance with a requirement of law, or other
15 performance, if the merchant knows or has reason to know that the
16 statement is not true.

17 (w) Representing that a consumer will receive a rebate,
18 discount, or other benefit as an inducement for entering into a
19 transaction, if the benefit is contingent on an event to occur
20 subsequent to the consummation of the transaction.

21 (x) Taking advantage of the consumer's inability reasonably to
22 protect ~~his or her~~ **the consumer's** interests by reason of
23 disability, illiteracy, or inability to understand the language of
24 an agreement presented by the other party to the transaction who
25 knows or reasonably should know of the consumer's inability.

26 (y) Gross discrepancies between the oral representations of
27 the seller and the written agreement covering the same transaction
28 or failure of the other party to the transaction to provide the
29 promised benefits.



1 (z) Charging the consumer a price that is grossly in excess of
2 the price at which similar property or services are sold.

3 (aa) Causing coercion and duress as the result of the time and
4 nature of a sales presentation.

5 (bb) Making a representation of fact or statement of fact
6 material to the transaction such that a person reasonably believes
7 the represented or suggested state of affairs to be other than it
8 actually is.

9 (cc) Failing to reveal facts that are material to the
10 transaction in light of representations of fact made in a positive
11 manner.

12 (dd) Subject to subdivision (ee), representing as the
13 manufacturer of a product or package that the product or package is
14 1 or more of the following:

15 (i) Except as provided in subparagraph (ii), recycled,
16 recyclable, degradable, or is of a certain recycled content, in
17 violation of guides for the use of environmental marketing claims,
18 16 CFR part 260.

19 (ii) For container holding devices regulated under part 163 of
20 the natural resources and environmental protection act, 1994 PA
21 451, MCL 324.16301 to 324.16303, degradable contrary to the
22 definition **of degradable as** provided in ~~that act.~~ **section 16301 of**
23 **the natural resources and environmental protection act, 1994 PA**
24 **451, MCL 324.16301.**

25 (ee) Representing that a product or package is degradable,
26 biodegradable, or photodegradable unless it can be substantiated by
27 evidence that the product or package will completely decompose into
28 elements found in nature within a reasonably short period of time
29 after consumers use the product and dispose of the product or the



1 package in a landfill or composting facility, as appropriate.

2 (ff) Offering a consumer a prize if the consumer is required
3 to submit to a sales presentation to claim the prize, unless a
4 written disclosure is given to the consumer at the time the
5 consumer is notified of the prize and the written disclosure meets
6 all of the following requirements:

7 (i) Is written or printed in a bold type that is not smaller
8 than 10-point.

9 (ii) Fully describes the prize, including ~~its~~ **the prize's** cash
10 value, won by the consumer.

11 (iii) Contains all the terms and conditions for claiming the
12 prize, including a statement that the consumer is required to
13 submit to a sales presentation.

14 (iv) Fully describes the product, real estate, investment,
15 service, membership, or other item that is or will be offered for
16 sale, including the price of the least expensive item and the most
17 expensive item.

18 (gg) Violating 1971 PA 227, MCL 445.111 to 445.117, in
19 connection with a home solicitation sale or telephone solicitation,
20 including, but not limited to, having an independent courier
21 service or other third party pick up a consumer's payment on a home
22 solicitation sale during the period the consumer is entitled to
23 cancel the sale.

24 (hh) Except as provided in subsection (3), requiring a
25 consumer to disclose ~~his or her~~ **the consumer's** Social Security
26 number as a condition to selling or leasing goods or providing a
27 service to the consumer, unless any of the following apply:

28 (i) The selling, leasing, providing, terms of payment, or
29 transaction includes an application for or an extension of credit



1 to the consumer.

2 (ii) The disclosure is required or authorized by applicable
3 state or federal statute, rule, or regulation.

4 (iii) The disclosure is requested by a person to obtain a
5 consumer report for a permissible purpose described in section 604
6 of the fair credit reporting act, 15 USC 1681b.

7 (iv) The disclosure is requested by a landlord, lessor, or
8 property manager to obtain a background check of the individual in
9 conjunction with the rent or leasing of real property.

10 (v) The disclosure is requested from an individual to effect,
11 administer, or enforce a specific telephonic or other electronic
12 consumer transaction that is not made in person but is requested or
13 authorized by the individual if it is to be used solely to confirm
14 the identity of the individual through a fraud prevention service
15 database. The consumer good or service must still be provided to
16 the consumer on verification of ~~his or her~~ **the consumer's** identity
17 if ~~he or she~~ **the consumer** refuses to provide ~~his or her~~ **the**
18 **consumer's** Social Security number but provides other information or
19 documentation that can be used by the person to verify ~~his or her~~
20 **the consumer's** identity. The person may inform the consumer that
21 verification through other means than use of the Social Security
22 number may cause a delay in providing the service or good to the
23 consumer.

24 (ii) If a credit card or debit card is used for payment in a
25 consumer transaction, issuing or delivering a receipt to the
26 consumer that displays any part of the expiration date of the card
27 or more than the last 4 digits of the consumer's account number.
28 This subdivision does not apply if the only receipt issued in a
29 consumer transaction is a credit card or debit card receipt on



1 which the account number or expiration date is handwritten,
2 mechanically imprinted, or photocopied. This subdivision applies to
3 any consumer transaction that occurs on or after March 1, 2005,
4 except that if a credit or debit card receipt is printed in a
5 consumer transaction by an electronic device, this subdivision
6 applies to any consumer transaction that occurs using that device
7 only after 1 of the following dates, as applicable:

8 (i) If the electronic device is placed in service after March
9 1, 2005, July 1, 2005 or the date the device is placed in service,
10 whichever is later.

11 (ii) If the electronic device is in service on or before March
12 1, 2005, July 1, 2006.

13 (jj) Violating section 11 of the identity theft protection
14 act, 2004 PA 452, MCL 445.71.

15 (kk) Advertising or conducting a live musical performance or
16 production in this state through the use of a false, deceptive, or
17 misleading affiliation, connection, or association between a
18 performing group and a recording group. This subdivision does not
19 apply if any of the following are met:

20 (i) The performing group is the authorized registrant and owner
21 of a federal service mark for that group registered in the United
22 States Patent and Trademark Office.

23 (ii) At least 1 member of the performing group was a member of
24 the recording group and has a legal right to use the recording
25 group's name, by virtue of use or operation under the recording
26 group's name without having abandoned the name or affiliation with
27 the recording group.

28 (iii) The live musical performance or production is identified
29 in all advertising and promotion as a salute or tribute and the



1 name of the vocal or instrumental group performing is not so
 2 closely related or similar to that used by the recording group that
 3 it would tend to confuse or mislead the public.

4 (iv) The advertising does not relate to a live musical
 5 performance or production taking place in this state.

6 (v) The performance or production is expressly authorized by
 7 the recording group.

8 **(//) Violating section 7(3) of the shopping reform and**
 9 **modernization act, 2011 PA 15, MCL 445.317.**

10 **(mm) ~~(//)~~Violating section 3e, 3f, 3g, 3h, 3i, 3k, 3l, 3m, ~~or~~**
 11 **3o, or 3q.**

12 (2) The attorney general may promulgate rules to implement
 13 this act under the administrative procedures act of 1969, 1969 PA
 14 306, MCL 24.201 to 24.328. The rules must not create an additional
 15 unfair trade practice not already enumerated by this section.
 16 However, to ~~assure~~**ensure** national uniformity, rules must not be
 17 promulgated to implement subsection (1)(dd) or (ee).

18 (3) Subsection (1)(hh) does not apply to either of the
 19 following:

20 (a) Providing a service related to the administration of
 21 health-related or dental-related benefits or services to patients,
 22 including provider contracting or credentialing. This subdivision
 23 is intended to limit the application of subsection (1)(hh) and is
 24 not intended to imply that this act would otherwise apply to
 25 health-related or dental-related benefits.

26 (b) An employer providing benefits or services to an employee.

27 **Sec. 3q. (1) Except as otherwise provided in this section, a**
 28 **person engaged in trade or commerce shall not use surveillance**
 29 **pricing in the sale of goods and services. A person is not in**



1 violation of this section if any of the following are met:

2 (a) The person is doing business under a law of this state,
3 another state, or the United States, relating to financial
4 institutions and their respective subsidiaries, affiliates, and
5 holding companies.

6 (b) The person is basing the price or specific terms of
7 extending credit, a refusal to extend credit on specific terms, or
8 the refusal to enter into a transaction with a specific consumer on
9 data provided in a consumer report used in compliance with the fair
10 credit reporting act, 15 USC 1681 to 1681x.

11 (c) The person is basing the price or specific terms of
12 extending credit, a refusal to extend credit on specific terms, or
13 the refusal to enter into a transaction with a specific commercial
14 enterprise based on data provided in a commercial credit report.

15 (d) The person is pricing insurance or insurance-related
16 products.

17 (2) Notwithstanding anything in this act to the contrary, this
18 section and section 3(1) (//) may be enforced only by the attorney
19 general or a prosecuting attorney. A person other than the attorney
20 general and a prosecuting attorney shall not bring an action under
21 section 11 in relation to a violation of this section or section
22 3(1) (//) .

23 (3) As used in this section:

24 (a) "Dynamic pricing" means a pricing system that alters the
25 cost of a good or service based on non-individualized consumer
26 data, which includes, but is not limited to, the date, time,
27 location, weather, events, purchase history, competitor pricing, or
28 demand.

29 (b) "Retailer loyalty program" means a system of pricing that



1 may decrease the price of a good or service and may use an
2 individual's personal identifiable data. A retailer loyalty program
3 may include, but is not limited to, a promotion, coupon, price
4 reduction, subscription model, rebate, reward, loyalty benefit,
5 manufacturer-funded or third-party-funded promotion, or other
6 benefit.

7 (c) "Surveillance pricing" means a pricing system that
8 increases the price of a good or service based on an individual's
9 personal identifiable data, which includes, but is not limited to,
10 device type, MAC address, IP address, individual cookies,
11 geolocation, search history, or purchasing habits. Surveillance
12 pricing does not include dynamic pricing, taxes, delivery fees, or
13 a retailer loyalty program.

14 Enacting section 1. This amendatory act takes effect 30 days
15 after the date it is enacted into law.

16 Enacting section 2. This amendatory act does not take effect
17 unless House Bill No. 6099 of the 103rd Legislature is enacted into
18 law.